



However, the irony is that close-ended mutual funds quote at a premium prior to listing and at a discount to the net asset value after listing. This discount may be viewed as an expensive monument erected to the inertia and short sightedness of the shareholders. The price movement of close-ended funds displays the fickle behaviour of investors as investor sentiment varies through time. When noise traders are optimistic, the price of close-ended funds rise and the discount to the net asset value narrows. When noise traders are pessimistic, the price of close-ended funds decline and the discount to the net asset value widens. Investors in close-ended mutual funds are subject to two types of risk: firstly, the fundamental risk of the net asset value going down, and secondly, the noise trader risk of widening the discount due to pessimism. The opportunity arises in the second scenario. However, the investor would need patience to benefit from such an opportunity. But isn't investing game of patience after all!



The Future of Open-ended Mutual Funds

The market volatility of this industry is taking its toll on the participants, impacting their health, their families and their self-esteem. An investment culture is being destroyed, and investment principles are being eroded. Just because the mutual fund industry has grown by leaps and bounds in the USA does not make it right. Times are changing and too much is at stake. The savings of millions of investors cannot be subjected to abuse in an industry that encourages speculation.



A Bold Vision

Since investment management is a profession there is a great opportunity for the portfolio management industry to grow. A vision of thousands of professional portfolio managers spread across the country catering to the needs of individuals, helping them to invest and at the same time channel their savings to the